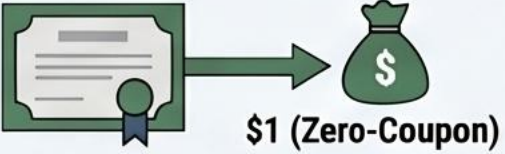
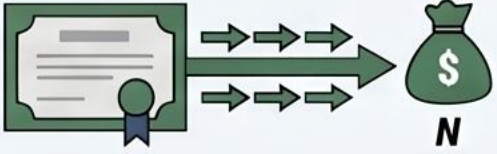


Mastering the Term Structure: A CFA Level II Guide to Interest Rate Dynamics

1. THE CORE DEFINITIONS: Spot Rates (Z_N) vs. Par Rates

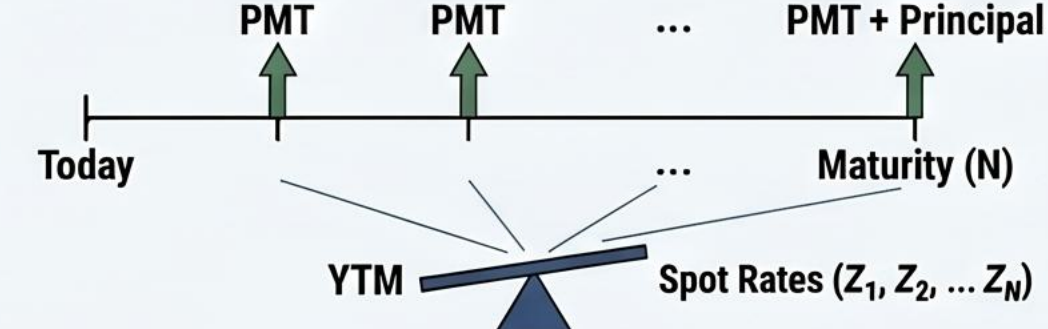
Spot Rate (Z_N)

Zero-coupon yield, single future payment.

Par Rate

YTM of coupon bond priced at par (Price=100).

$$DF_N = \frac{1}{(1 + Z_N)^N}$$

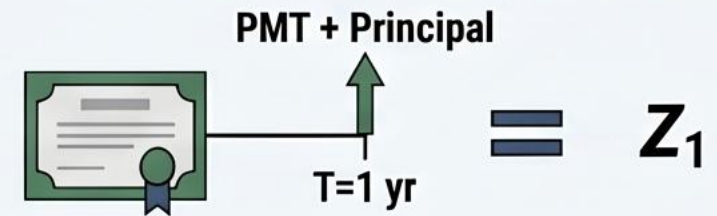
Discount Factor: Price today of \$1 to be received in N periods.

2. YTM AS A WEIGHTED AVERAGE



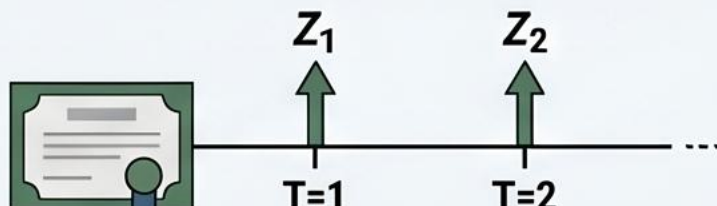
YTM is a weighted average of spot rates corresponding to each cash flow.

3. THE BOOTSTRAPPING PROCESS: Step 1: Start with the 1-Year Par Rate



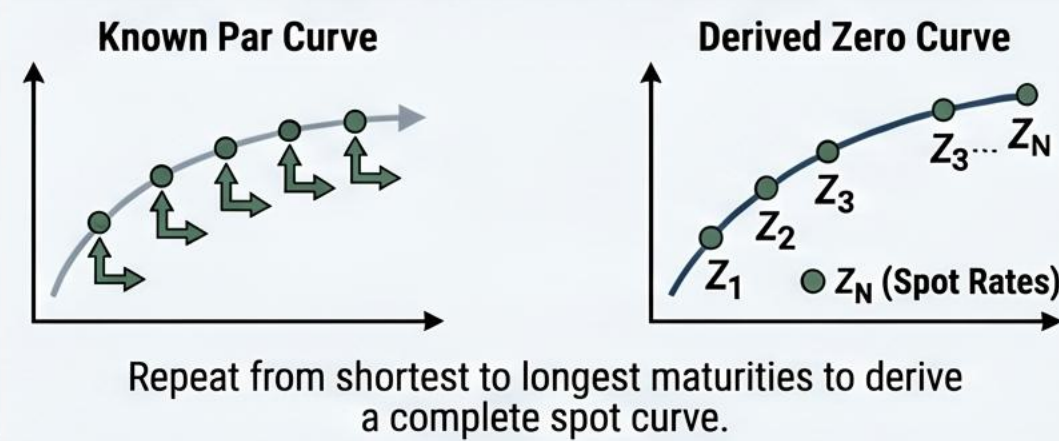
For a 1-year bond, **Par Rate = Spot Rate (Z_1)** (only one cash flow).

4. STEP 2: Iterative Backward Substitution

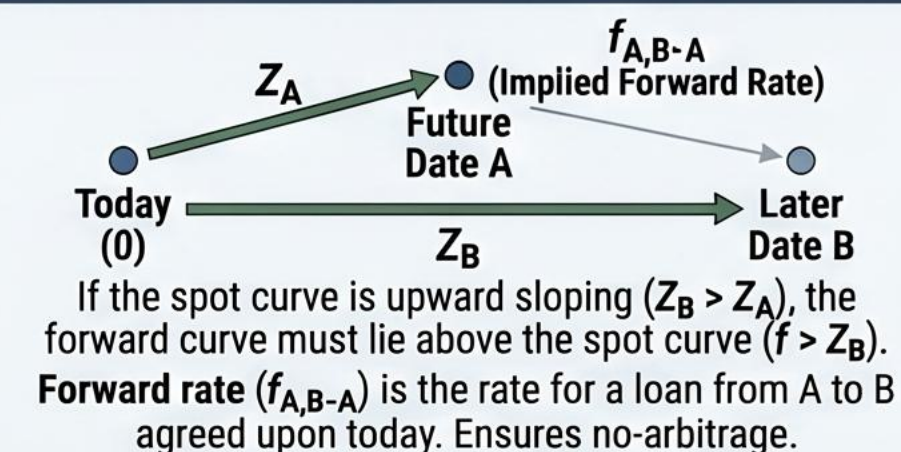

$$1 = \frac{PMT}{(1 + Z_1)} + \frac{1 + PMT}{(1 + Z_2)^2}$$

Use known Z_1 to solve for Z_2 in a 2-year par bond.

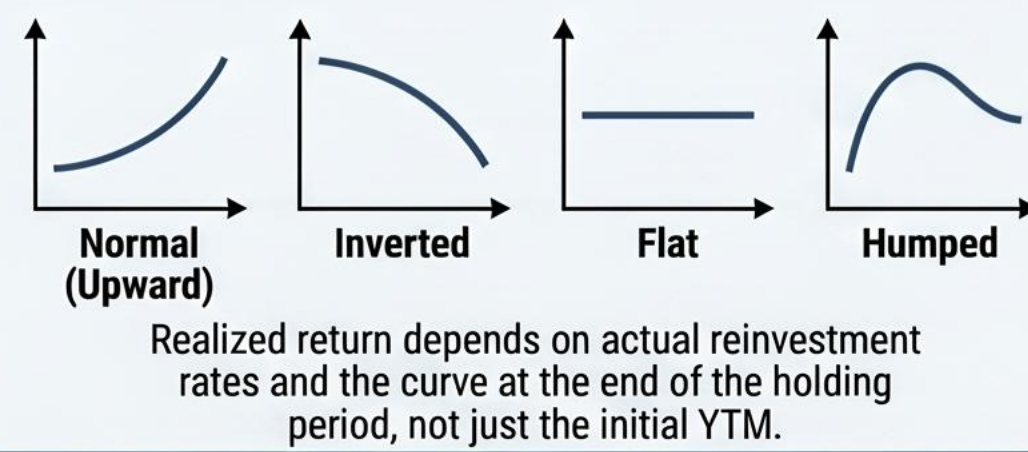
5. CONSTRUCTING THE ZERO CURVE



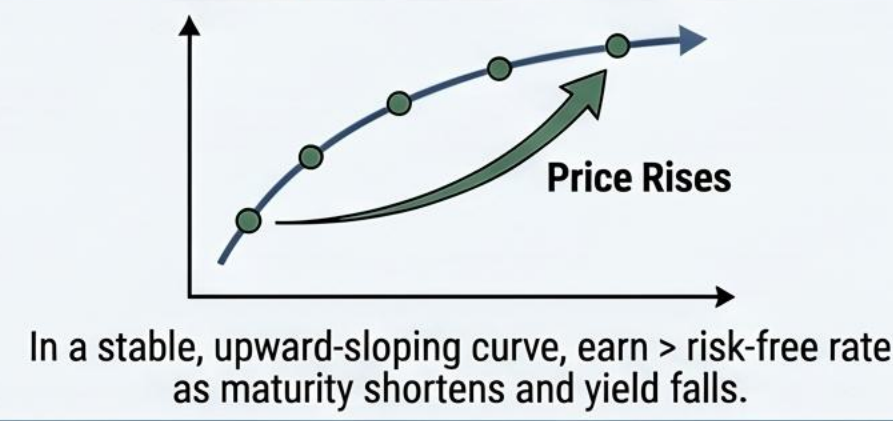
6. FORWARD RATES & THE FORWARD RATE MODEL



7. YIELD CURVE SHAPES & THEORIES



8. STRATEGIES & FACTOR MODELS: Rolling Down the Yield Curve



9. THREE PRIMARY FACTORS & EXAM TRAP

Factor Impacts on Rates			
Factor	Short-Term	Intermediate	Long-Term
Level Shift	Up 1 unit	Up 1 unit	Up 1 unit
Steepness	Down 1 unit	No change	Up 1 unit
Curvature	Up 1 unit	Down 1 unit	Up 1 unit

Common Exam Trap: Swap Spreads

Level (Parallel shifts), **Slope** (Steepness/Flattening), and **Curvature** (Twists); **Level** alone explains over 75% of yield curve variance.